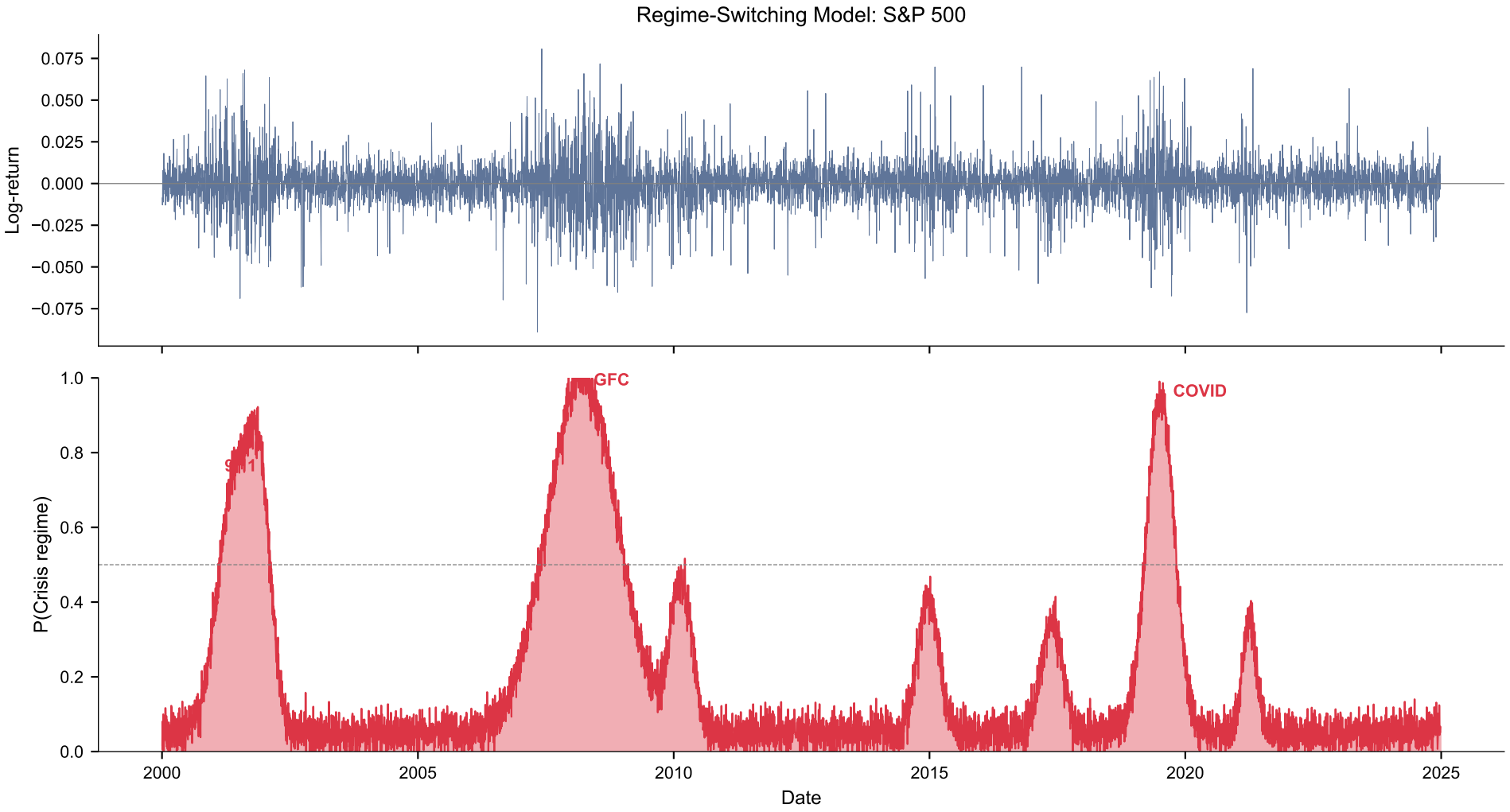
Regime-Switching Model: S&P 500
Log-return
0.075
0.050
0.025
0.000
−0.025
−0.050
−0.075
P(Crisis regime)
1.0
0.8
0.6
0.4
0.2
0.0
GFC
COVID
2000
2005
2010
2015
2020
2025
Date